

NATIONAL INCOME ACCOUNTING**National income**

National income is the total amount earned by every sector of the economy and from the foreign balance (also known as the balance of payments). National income accounting is a method that a national government uses to measure the level of a country's economic activity in a given time period.

Income equals expenditure

The idea of national income means that every penny spent in one part of the economy must equate to a penny earned elsewhere, and the economy's total earnings must match its total spending. This basic idea allows economists to build and study models such as the MONIAC machine.

US\$4.29
trillion
Japan's Gross National
Income (GNI) in 2015

